PROBLEM STATEMENT

MScFE Capstone Project

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Date17/06/2024

Project Track

Project Track : Research

Topic: ESG Scores and Foreign Direct Investment (FDI): An empirical study of how ESG scores impact the flow of FDI within the East African markets.

Problem statement

Global investment strategies have gradually incorporated Environmental, Social, and Governance (ESG) factors as a benchmark for assessing the sustainability and ethical impact of investments in various countries. Initialized in the 1960s, investors excluded some companies and, in some cases, entire industries from their portfolios due to their business activities in a bid to uphold Socially Responsible Investing (SRI) (MSCI, 2023). These factors are all subsets of “sustainability”, which focuses on how an organization's products and services contribute to sustainable development (Nordea, 2021). In the 1980s, a notable surge in scholarly articles on Socially Responsible Investing (SRI) pointed to its increasing popularity among investors and scholars.

Alongside SRI and Corporate Social Responsibility (CSR), the term ESG (Environmental, Social, and Governance) has been adopted by practitioners, academics, and the media to denote an investment approach that balances social benefits with financial returns. Breedt et al. (2019) note that the concept of ESG gained prominence in 2005, increasingly influencing investors to incorporate ESG criteria into their decision-making processes. ESG investing represents an evolution from the traditional socially responsible investing paradigm, offering a more detailed framework for assessing social impacts beyond merely avoiding firms associated with negative outcomes (S&P Global, 2020).

From the paper by Luiz and Mello (2007), Foreign Direct Investment (FDI) represents a multivariate combination of capital, expertise, and technology. This involves the movement of capital as well as the transfer of management practices, technological know-how, and organizational skills among countries. FDI is mainly categorized into two primary types: vertical FDI, whereby various production phases are allocated across different countries, and horizontal FDI, which extends similar business operations into a foreign country as those conducted in the investor's home country (Financial Times Lexicon, 2023).

As demonstrated by previous empirical research, Foreign Direct Investment (FDI) is a key stimulating factor of economic growth in emerging markets. FDI facilitates sustainable growth by transferring technology to the host country, while in return enhancing the development of human capital, enterprise, and integration into the global trading system (OECD, 2002, p. 5). For policymakers to strategically allocate resources to enhance these elements, it is important to understand the factors that attract FDI. This understanding fosters better decision-making to draw more foreign investment. Recent years have seen more effort globally to promote sustainable economic development. International efforts,

including the United Nations' Sustainable Development Agenda and the Paris Agreement, have established frameworks to advance this sustainable development.

With the increasing significance of sustainability within economic and financial arenas, foreign investors must consider ESG (Environmental, Social, and Governance) factors alongside traditional investment models when evaluating potential investments in host countries. Substantial evidence of ESG factors significantly influencing Foreign Direct Investment (FDI) inflows, can help local authorities enhance ESG standards to attract more investment. The enhancement of ESG standards can not only improve the living conditions within host countries but also contribute to long-term value creation.

Despite the growing recognition of ESG factors in investment decisions, existing research primarily focuses on two aspects: the impact of FDI on the economic development of host countries, and financial returns as a determinant of FDI location choices. Consequently, there remains a notable gap in quantitatively assessing the influence of ESG factors on FDI inflows into emerging and developing markets. The key focus will be on East African countries. Additionally, while some studies have examined the overall trends in FDI flows and ESG in emerging markets, they have not deeply explored how individual ESG components influence FDI at a regional level within Africa.

This research seeks to bridge this gap by evaluating whether and how ESG considerations affect FDI inflows, thereby illuminating the significance of sustainability for foreign direct investors. Moreover, this study will identify which specific ESG factors are most significant to investors when committing capital to emerging and developing markets. By focusing on East Africa, this study not only contributes to the broader discourse on sustainable investment but also provides actionable insights for policymakers and investors committed to fostering sustainable economic growth in the region.

Goals and Objectives

This research aims to address the following critical questions:

1. Is there a relationship between Foreign Direct Investment (FDI) and the Environmental, Social, and Governance (ESG) characteristics of target countries within emerging and developing markets?
2. In the case where we have such a correlation, which specific ESG factors exert the most influence on FDI inflows, and what is the nature of their impact as drivers of FDI?

This research will help policymakers measure and understand how foreign direct investors weigh the costs and benefits associated with sustainability practices, and whether they perceive poor ESG standards as a potential risk or an opportunity. They can then better determine enhancements that are essential for attracting greater levels of foreign direct investment.

Initial Design

The steps bellow will be followed for implementation of code:

Models and Statistical Tests:

1. **Descriptive Statistics:** Initial analysis to describe the data, including mean, median, and variance of both ESG scores and FDI amounts.
2. **Correlation Analysis:** Pearson or Spearman correlation tests to examine the preliminary relationships between ESG scores and FDI.
3. **Regression Analysis:** Conduct multiple regression analyses to control for potential confounders such as GDP, political stability, and market size.
4. **Panel Data Analysis:** Utilize fixed effects or random effects models to account for unobserved heterogeneity among countries and over time.
5. **Sensitivity Analysis:** To test the robustness of the findings, perform sensitivity analysis by excluding outliers or using alternative econometric specifications.

Data Analysis:

1. **Data Cleaning and Preparation:** Handling missing values, outliers, and ensuring data is properly indexed for time-series analysis.
2. **Exploratory Data Analysis (EDA):** Using plots and statistical summaries to understand trends, cycles, and distribution in the data.
3. **Model Diagnostics:** Checking for multicollinearity, heteroscedasticity, and autocorrelation in the regression models.
4. **Validation:** Cross-validation techniques to ensure the model's predictive power and generalizability.

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